

would change the world. Has it? No. And the same will be true of the computer too.'

The broker was partly right in that barely a handful of the 'world beaters-in-the-making' survived the bust that followed, and many investors lost more than they had made during the bull run. And no, the technology boom did not revolutionize life on earth immediately as expected, though it did lay the foundation for the huge changes in the coming years. The dizzying rise in IT and other new-economy shares would defy logic for about two years. But during that period, there was easy money to be made; it was a period when you were better off not understanding balance sheets, and profit and loss statements. Traders who kept short-selling IT shares, convinced that the fantastic valuations were unsustainable, were nearly driven to ruin. Those who just bought blindly without trying to figure out the reasons for their rise gained the most.

The bull run hardly presented an uninterrupted, smooth ride to riches; two speedbreakers during the year nearly halted it. But to everybody's surprise, the market managed to take both events in its stride.

Year 1999 had started off well for the bulls. Inflation was slowly going down, and with it, interest rates too. The government appeared to have regained its footing as the infighting within the top leadership subsided. Technology shares were the flavour of the season, and investors slowly began making a beeline for even the lesser known and sometimes downright dubious companies in the sector. Even news of an old-economy company launching its website was sufficient to get investors excited. Some companies renamed themselves, adding fancy prefixes like 'technologies' and other IT terms to attract investors. Of course, most of these companies had nothing to do with technology.

There was this story about a Calcutta-based software firm that suddenly became a big hit with retail investors. Only later did the buyers realize that Soft Wear was a hosiery firm and not a software firm.

Sentiment for IT shares was further fired when the Budget offered a tax break to companies making their computer systems Y2K-compliant. It proposed that all expenditure incurred by companies on Y2K-compliance should be allowed as revenue expenditure in the coming financial year. This meant companies could deduct these expenses from their tax liabilities. On the whole, it was a good Budget from the market's viewpoint, and the bulls